TO: Ethan Stuckmayer, Housing Division Manager
Oregon Department of Land Conservation and Development

FROM: Anita Kea'lani Yap, MultiCultural Collaborative

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Subject: Racial Equity Impact Statement for Oregon Housing Needs Analysis Rule Amendments: OAR 660-007/008/021/024

## Background and Foundations for Racial Equity Policy

This statement is provided in compliance with House Bill 2993 (2021), section 2, which amends ORS 183.335(2)(a) to require a notice statement "identifying how adoption of the rule will affect racial equity in the state." (HB 2993, §2.)

House Bill 2993, section 2, amends ORS 183.335(2)(a) to require rulemaking notice to include *"(F) A statement identifying how adoption of the rule will affect racial equity in the state [.]"* This provision applies to any rulemaking notice filed on or after January 1, 2022.

In 2023, the Land Conservation and Development Commission (LCDC) adopted a Racial Equity Framework for Decision Making. This framework serves as a comprehensive tool to guide department staff in internal projects and processes, as well as with Rules Advisory Committees (RAC). The framework consists of eight categories with accompanying questions. As part of the Oregon Housing Needs Analysis (OHNA) Rulemaking, department staff have used this framework by highlighting relevant categories and questions based on meeting topics.
For the upcoming OHNA RAC meeting on August 27, 2025, department staff have prepared a document titled "Racial Equity Framework for Decision Making Memo". This memo responds to all of the questions in the framework and helped inform the development of this Racial Equity Impact Statement as well as the first iteration of the draft rules including in the RAC's August 27th meeting packet.

The Department defines Equity in Housing: "*Addressing housing needs goes beyond estimating the number of needed units or making them affordable. People have unique housing needs based on their specific circumstances. In addition, Oregon's historically marginalized and underserved populations often face challenges in accessing safe, accessible, and affordable housing in the community of their choice due to unfair historic policies and practices. The Housing Division focuses on creating equitable housing outcomes by facilitating housing production, affordability, and choice. This aligns with the Goal 10, principles of fair housing, and the urgent housing needs of Oregonians today. "*

For the purposes of this Racial Equity Impact Statement, the following definition is provided by the State of Oregon Diversity, Equity and Inclusion Action Plan.

*"Racial Equity: Closing the gaps so that race can no longer predict any person's success, which simultaneously improves outcomes for all. To achieve racial equity, we must transform our institutions and structures to create systems that provide the infrastructure for communities to thrive. This commitment requires a paradigm shift on our path to recovery through the intentional integration of racial equity in every decision."*

This Racial Equity Impact Statement provides an analysis of the work to date on the Oregon Housing Needs Analysis rulemaking by the Department and provides the following:

1. Summary of Rule Intent
2. Engagement and Impact on Racial Equity and Racial Groups Subject to this Rule
3. Racial Equity Data Considerations
4. Unintended Impact and Consequences on Racial Equity in the state

## 1. Summary of Rule Intent

The Oregon Housing Needs Analysis (OHNA) rule amendments aim to address the state's urgent housing crisis by shifting the focus from simply counting available land to taking deliberate actions that produce equitable housing outcomes. This is a paradigm shift in how the state implements Goals 10 (Housing) and 14 (Urbanization), moving from a supply-capacity approach toward proactive strategies that ensure all communities—particularly those historically excluded from housing opportunities—benefit from growth and investment.

**Key elements**

- Contextualized Housing Need (CHN):
  - Establishes standardized baselines for housing need, including unit types, affordability levels, size, homeownership opportunities, and accessibility features.
  - Ensures consistent statewide minimums while allowing local tailoring to address unique community needs.
- Housing Capacity Analysis (HCA)
  - Refines methodologies for estimating housing capacity, including a safe harbor for a Land Market Supply Factor (LMSF) to discount partial capacity of some buildable land.
- Development Ready Land Inventory
  - Establishes criteria for inventorying and determining the sufficiency of development-ready land to ensure there is adequate infrastructure, in needed housing locations, to meet a jurisdiction's housing production target.
- Housing Production Strategies (HPS):

    - Requires jurisdictions to adopt actions that meet identified needsto increase capacity in existing neighborhoods.
    - Includes affordability incentives, accessibility requirements, and options for larger-family housing.
- Urban Growth Boundary (UGB) refinements:
    - Integrates early Tribal consultation into planning processes.
    - Sets standards for "complete neighborhoods" in new urbanizable areas to avoid repeating past patterns of segregation.
- Statewide monitoring and accountability:
    - Creates public dashboards to track housing production, affordability, and equity outcomes annually.
    - Incorporates a mid-cycle review and an "Acceleration Program" to intervene if jurisdictions fall behind.

## 2. Engagement and Impact on Racial Equity

The engagement process for these rules sought to elevate voices from Communities of Color and Tribal Nations while ensuring that resulting policies address historic inequities in housing access. The intent is to reduce systemic barriers to housing choice, affordability, and stability, particularly for those most impacted by redlining, exclusionary zoning, and displacement.

Engagement to date:

- DLCD provided opportunities for participation on representative advisory groups:
    - The RAC, TAC, and HAWG included members with diverse racial and cultural backgrounds, including representatives from culturally specific housing organizations.
- DLCD Engaged with Community-based organization (CBO) partnerships:
    - Partnered with trusted local organizations to host focus groups using culturally responsive facilitation methods.
    - Provided stipends, interpretation services, and accessible meeting formats to remove participation barriers.
- DLCD Invited Government-to-government consultation:
    - Invited Tribal Nations to consult during UGB study phases to ensure culturally significant lands and community needs are respected.

Expected racial equity impacts:

- Increased housing choice in high-opportunity areas:
    - Expands housing diversity where Communities of Color have historically been excluded.

    - Integrates mixed-use development to reduce reliance on cars and enhance access to amenities.
    - Supports the coordination of infrastructure investments that enable near-term development of needed housing types in areas of opportunity.
- Reduced transportation cost/time burdens:
    - Complete neighborhoods and proximity to public transit benefit low-income Black, Indigenous, Latine, and immigrant households.
- Support for homeownership:
    - Targets affordable homeownership opportunities to close racial wealth gaps, aligning with HB 2698.
- Anti-displacement protections:
    - Embeds strategies in HPS to mitigate displacement risk, especially in neighborhoods undergoing redevelopment.

## 3. Racial Equity Data Considerations

To ensure the rules result in measurable progress toward racial equity, the department requires the integration of both quantitative data and qualitative lived-experience input. This wholistic approach acknowledges that standard data sources often mask disparities faced by smaller racial and cultural communities and commits to improving data accuracy, disaggregation, and accessibility.

Data approaches

- Collection of Core equity metrics to assist with policy and decision making
    - Disaggregate by race/ethnicity, income, and disability for housing production, affordability, tenure, displacement, and accessibility outcomes.
    - Track the geographic distribution of new housing relative to jobs, schools, and transit.
- Creating and Contributing to Equity Indicators from OHCS and CHN baselines:
    - Pair quantitative indicators with community narratives to address limitations of census-based datasets.
    - Include locally gathered qualitative information on culturally specific housing needs.
- Data equity commitments:
    - Disaggregate data to differentiate between Native American and Tribal identities.
    - Provide technical assistance for smaller jurisdictions to build capacity in data collection and equity analysis.

- Track results from past UGB expansions and HPS actions to assess effectiveness and prevent repeating inequities.

## 4. Unintended Impacts and Consequences

While the rule amendments are designed to advance racial equity, policy implementation can have unintended effects if not closely monitored. These risks, if unmitigated, could reinforce existing inequities. The rule framework includes safeguards and companion actions to reduce these harms, but ongoing evaluation is critical. The rules process evaluated potential risks, impacted communities and developed mitigation measures to address unintended consequences.

| Potential Risk | Communities Most Impacted | Details | Mitigation Measures |
|---|---|---|---|
| Edge-only growth without affordability or mixed uses | Households of Color pushed to periphery | Can recreate segregation by siting affordable housing far from opportunity-rich areas. | Require complete neighborhood standards; include affordability provisions in expansion areas; evaluate equity in UGB sub-area selection. |
| Displacement from infill/LUEMs | Renters, elders, immigrant households, Black/Latine/Native residents | Redevelopment pressure in existing neighborhoods can lead to involuntary moves. | Require tenant protections, right-to-return policies, community preference programs, and disposition of public land for affordable housing. |
| Over-discounting infill potential | Close-in Communities of Color | Underestimating capacity in historically disinvested areas may redirect resources to peripheral growth. | Limit Land d Market Supply Factor discounts to partially-vacant land; direct public investment toward equitable infill through Development-Ready Land Inventory and Opportunity Mapping in CHN. |
| One-size-fits-all CHN baselines | Culturally specific communities with unique needs | Baselines may not capture culturally driven housing | Maintain qualitative engagement, require local |

| Potential Risk | Communities Most Impacted | Details | Mitigation Measures |
|---|---|---|---|
| | | preferences or multigenerational living needs. | tailoring through Fair Housing analysis, and allow cities to exceed statewide baselines when justified. |

## Conclusion

By setting a higher statewide floor for equitable housing planning, integrating racial equity measures into compliance pathways, and requiring transparency in outcomes, these rules create a framework for systemic change. Realizing their full equity potential depends on robust community engagement, timely corrective action when disparities persist, and a sustained focus on restorative justice in housing policy.